

*FANUC Corporation:
Why this case?*

Financial Strategy – 35802
Winter 2026

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FANUC Corporation: What happened?

- ❑ On February 10, 2015, Third Point / Loeb revealed as “top 10” shareholder (>1.5% of shares)
- ❑ March 12: FANUC announces that
 - ❑ Setting up shareholder relations (IR) department (“to promote constructive dialogue with our shareholders”)
 - ❑ “Might” increase payout
 - ❑ Stock up **13%** upon announcement

□ April 27 2015: FANUC announces

- Increase dividend payout from 30% to 60% of net income
- Increase share repurchases, so that total payout up to 80% of net income
- Cancel treasury shares
- Add 2 outside directors
- Stock up 3% upon announcement

□ February 2016: announces repurchase of 2M shares (1% of total)

- Stock up 2.2%

□ April 2016: SVP Kenji Yagaguchi named President & COO

- Created concept of “Robots making robots”

FANUC: Why This Case?

- ❑ Another application of static trade-off model
- ❑ Payout policy vs. capital structure policy
- ❑ Mechanics of leveraged recapitalizations
- ❑ Dividends vs share repurchases.
- ❑ Corporate governance in U.S. vs Japan
- ❑ Hedge fund activism

I. One more look at static tradeoff:

- FANUC has no debt, lots of cash. Makes sense?
 - Costs of debt:
 - Pr(FD):
 - » Robotics companies are cyclical → higher.
 - » But FANUC is market leader → lower volatility.
 - » Exchange rate risk?
 - COFD:..
 - » Important to develop state-of-the art products and production technologies
 - » But: CAPEX still quite modest.
- ➔ “Medium” E(COFD)?

□ Benefits of debt:

- PVTS seem high

- » Consistently profitable (despite cyclicity), few non-debt tax shields, high effective tax rate.

- Incentive benefits of debt could be significant

- » On the one hand: great track record for management; strong culture of cost efficiency and production excellence

- » On the other hand: very little pressure on management; family-run, but not family-owned

- » Current governance structure seems fragile: risk that start making bad M&A? Risk of promoting bad (family) management?

□ → Reasonable case for having some leverage

- Seems like stronger case than MCI, but probably weaker than Diageo

II. Relation between payout policy and capital structure

- ❑ Payout policy decision part of capital structure
 - Cash $\approx$ Negative debt
- ❑ Same static trade-off
 - Tax disadvantage of holding cash
 - » Tax advantages to pay out versus investing in T-Bills
 - Relevant for FANUC
 - Agency cost of holding cash
 - » Excess cash can be wasted by managers
 - Arguably important for FANUC
 - Benefit is lowering E(COFD)
 - » Ensure FANUC can invest in CAPEX and R&D; retain employees and customer relationships

- ❑ Trade-off model applies to optimal cash balances
 - Since Cash $\equiv$ Negative Debt
- ❑ Same trade-off analysis holds:
 - Tax costs of cash
 - » \$1 kept in firm and invested in T-bills in perpetuity only worth $(1 - \tau_c) * \$1$. I.e. negative tax shield = $\tau_c * C$
 - Incentive costs of cash
 - » Cash can be wasted on perks, bad acquisitions, etc.
 - » Dividend payments and share repurchases leave management with less money to burn.
 - Benefit of cash in reducing E(COFD)
- ❑ Hence, trade-off analysis gives you a target net debt level, i.e. debt minus cash
 - Optimal net debt may turn out to be negative, e.g. for a high-tech firm

- Signalling role of payout policy important
 - Advantage: can use cash over securities when financial market conditions unfavorable
 - » Avoid selling undervalued securities
 - Disadvantage: holding *too much* cash may signal that management bearish about future
 - » Paying out cash typically increases stock price
- Conveys potentially important information not only to investors, but also to
 - customers.
 - competitors.
 - employees.
 - → Important for FANUC?

III. Mechanics of leveraged recap

- ❑ Consider an all-equity financed firm with 1000 shares outstanding, a market value of their operations (V_u) of \$720.
 - Per share value is $\$720 / 1000 = \0.72
- ❑ Now raise \$500 in debt for a share buyback program (a “recap”)
- ❑ Assume recap will lead to net value increase of \$140
 - I.e. $PVTS - PVCOFD + PV(Inc) = 140$
- ❑ Think about this as happening in two steps
 - Step 1: Issue debt and get cash
 - Step 2: Use cash to buy back shares

Step 1: Raise funds

- ❑ The firm raises \$500 in debt. Firm now consists of the PV of future firm cash flows plus \$500 in cash.
- ❑ Firm value = Cash + V_U + [PVTs + PV(Inc) - PVCOFD]
= \$500 + \$720 + \$140
= \$1360
- ❑ Equity value
 $E = \$1360 - \$500 = \$860$
- ❑ Share price increases from \$0.72 to \$0.86
- ❑ Equity gets the \$140 net gain of the debt!

Step 2: Buy back shares

- ❑ Now the firm does a share repurchase of \$500
- ❑ The firm buys back $\$500/0.86 = 581$ shares
- ❑ Value of the firm is now $\$1360 - \$500 = \$860$
- ❑ Value of equity is $E = V - D = \$860 - \$500 = \$360$
- ❑ Are equity owners worse off because equity value has decreased?
- ❑ No! Equity holders wealth now consists of \$360 in stock + \$500 in cash = \$860 > \$720 before recap



□ What if the firm had paid a dividend instead of repurchased shares?

- What happens to the share price once the dividend is paid?
- Are shareholders better or worse off?

■ Answer: Dividend vs share repurchase has the same economic effect.

- But: taking additional factors into account (personal taxes, signalling, investor clienteles) → dividends and repurchases can have different effects.
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IV. Divs vs. share repos in adjusting cash levels

- Different effects on capital structure
 - Repos: large, “one-time” adjustments
 - Divs: smaller, “regular” disbursements
- Different tax effects
 - Dividends typically tax disadvantaged relative to repos for investors
- Different signalling implications
 - Dividend has implicit commitment to pay in future
 - Share repos signal that buying own shares is a “good deal” / undervaluation

❑ Dividend clienteles – some investor groups like dividend paying stocks, e.g.:

- Tax free institutions who like dividend flow to cover expenses
 - » Alternative would be to sell some shares, but incur transaction costs
- Long-term/strategic owners who want payout but also to keep shares
 - » E.g. Microsoft special dividend
- Regulatory reasons
 - » E.g. foundations who are only allowed to spend “income” but not “principal”
- Behavioral/preferences
 - » Some investors simply like to receive dividends, for whatever reason. E.g. “old people”...

Example: Tax benefits of payout

- Assume company has $C = \$1\text{Bn}$ of excess cash.
- Alternative (1): keep cash in company forever
 - Assume invest in risk-free bonds @ $R_f = 5\%$
 - Assume corporate tax rate $\tau_c = 30\%$
 - $PV(\text{cash}) = PV(\$1\text{Bn of bonds kept in company})$
 - » Yearly after-tax income from bonds is
$$R_f (1 - \tau_c) C = 5\% * (1 - 0.3) * \$1\text{Bn} = 35\text{M/year}$$
 - » Since required rate of return on bonds = R_f :
$$PV = R_f (1 - \tau_c) C / R_f = 35\text{M} / 0.05 = 700\text{M}$$
- Or: $(1 - \tau_c) C = (1 - 0.3) * \$1\text{Bn} = 700\text{M}$
 - I.e. excess cash gives *negative* tax shield of
$$C * \tau_c = 300\text{M} = \$1\text{Bn} - PV(\$1\text{Bn in company})$$

□ Alternative 2: Pay cash out as a dividend

- Shareholders get $C^*(1 - \tau_{\text{div}})$, where τ_{div} is the tax rate investors on average pay on dividends.

- » If the personal tax rate on capital income is 20% and all shareholders are taxable:

$$\text{PV}(\text{payout}) = \$1\text{Bn} * (1 - 0.2) = 800\text{M} \quad +100\text{M}$$

- » If 50% of shareholders are tax-exempt institutions:

$$\text{PV}(\text{payout}) = \$1\text{Bn} * (1 - 0.2 * 50\%) = 900\text{M} \quad +200\text{M}$$

- Conclusion: even with personal taxes, shareholder value increases with a dividend payout, because corporate tax is eliminated.

□ Alternative 3: Pay cash out by repurchasing shares

- B = tax basis (i.e. what shareholders paid for the shares)
 - $C - B$ = capital gains realized by selling shareholders
- If τ_{cg} = capital income tax, shareholders get $C - (C - B) * \tau_{cg}$

» If $\tau_{cg} = 20\%$, $B = 400M$ & all shareholders taxable:

$$PV(\text{payout}) = \$1Bn - (1Bn - 400M) * 0.2 = 880M \quad +120M$$

» If 50% of selling shareholders are tax-exempt:

$$PV(\text{payout}) = \$1Bn - (1Bn - 400M) * 0.2 * 50\% = 940M \quad +240M$$

- Also, in a share repurchase, investors can *choose not to sell* if they want to avoid/postpone realizing capital gains
 - » → $PV(\text{payout})$ close to \$1Bn (+300M) if mostly tax-exempt sell.
 - » Unlike dividends: paid out to *all* shareholders

V. U.S. vs Japanese corporate governance

- ❑ Goal of corporate governance in broadest sense: make sure value is maximized to all stakeholders
- ❑ Anglo-Saxon / U.S. corporate governance model: goal is to maximize *shareholder* value.
- ❑ Japan governance model traditionally more of a stakeholder focus
 - Responsibility to employees, community
 - Survival more important than maximising profits

Different corporate governance philosophies:

	Inaba / Japanese	Loeb / US
Goal of company:	Long-term survival	Maximize (long-term?) shareholder value
Horizon:	100-200 years	1-3 years? 1 quarter?
Main stakeholders:	Employees, customers, suppliers, and then shareholders	Shareholder focus.
Main performance benchmark:	Increasing profitability, steady dividend	Stock return
Board:	Large, insider-dominated.	Smaller, outsider representation.
Management choice and tenure	Dynastic, long tenures, chosen by management	External, shorter tenures, chosen by board

□ Economic case for shareholder focused governance:

1. Efficient to have one clear constituency that managers should serve
 - To avoid managerial rent-seeking / playing out different stakeholders against each other
1. Many stakeholders – employees, creditors, suppliers, society – can protect themselves through contracts and law
 - E.g. Firm's obligation to creditors is fairly clear: meet contracted payments
 - Similar for employees, customers, suppliers

3. The ability of equity holders to protect themselves contractually is much more limited

- Equity is the residual claimant: highest risk, suffers the most from bad decisions
- Cannot write contract or law prohibiting bad business decisions!
- → Shareholder focus makes sense.

■ Still: focusing on shareholder value does not solve all problems in the “real world” due to frictions:

- Contracting is imperfect
- Laws are imperfect

- I.e.: stakeholders cannot perfectly protect their interests through contracts & laws.
 - Firms do not internalize climate cost of GHG emissions
 - » Most countries around the world lack carbon taxation
 - Increase profits at expense of employee safety / working conditions
 - » Problem in countries with weak institutions
 - Increase profits at expense of quality
 - » Problem when true quality is hard to assess for customers, e.g. healthcare, education
- In addition, shareholders may not all have the same goals
 - E.g. long-term vs short-term investors; controlling owner vs minority shareholders
- Growing ESG and SRI movement is a response to this
 - Environmental, Social, Governance
 - Socially Responsible Investing

VI. Hedge fund activism

- ❑ Shareholder activism by hedge funds has increased since the 1990's
 - Started in the U.S. in late 1980's, spreading around the world
- ❑ Try to influence corporate decisions by acquiring meaningful equity position in company
 - E.g. change board, sell assets, change capital structure or payout policy, enable acquisition of company
- ❑ Research evidence on activist funds largely positive
 - Increases in equity value and operating performance
- ❑ But can lead to conflicts when hedge fund interests ≠ other shareholder interests
 - E.g. different investment horizon, different economic interests (e.g. fund is “long” votes but “short” economic interest).